

END-TO-END ACCOUNTING CYCLE

FOR A SMALL BUSINESS — BHARAT BASKET

(Implemented in Tally Prime)

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Acknowledgement

This accounting project for Bharat Basket is a personal initiative undertaken to gain hands-on, practical expertise in modern computerized accounting and financial management.

Through the end-to-end execution of this project, I independently configured company frameworks, recorded core business transactions, and managed GST compliance using Tally Prime. Additionally, I utilized Microsoft Excel to perform financial ratio analysis and prepare structured executive reports.

This self-driven project has significantly strengthened my practical knowledge of double-entry bookkeeping, tax accounting, and financial statement analysis. I am grateful for the learning resources and software tools that made the successful execution and completion of this project possible.

Project Overview

The **Bharat Basket** project is an accounting-only practical study designed to simulate the financial setup and bookkeeping operations of a retail business registered under Regular GST in Odisha.

The project covers the complete accounting lifecycle—from initial master ledger creation and capital entry to voucher postings for credit purchases, credit sales, and administrative expenses. Using double-entry accrual accounting in Tally Prime, the business's financial health was verified through auto-generated reports including the **Trial Balance**, **Profit & Loss Account**, and **Balance Sheet**. Furthermore, **Microsoft Excel** was used to perform financial ratio analysis, confirming a healthy **Net Profit Margin of 23.33%** and a strong **Current Ratio of 9.15:1**.

Project Objective

Computerized Ledger & Setup: To set up company details, GSTIN parameters, and group hierarchy for all 11 master accounts in Tally Prime.

Voucher Transaction Recording: To record standard business transactions accurately through standard voucher types (Receipt, Payment, Purchase, and Sales) following double-entry principles.

Statutory GST Compliance: To calculate and track statutory Input Tax Credit (ITC) and Output CGST/SGST liabilities at 18% tax slabs.

Financial Verification: To extract and verify arithmetical accuracy through a balanced Trial Balance and prepare final accounts (P&L and Balance Sheet).

Analytical Assessment: To perform ratio analysis using Microsoft Excel to evaluate profitability and short-term financial liquidity.

Scope of the Project

Accounting-Only Workflow: Focuses strictly on financial ledger accounts, voucher entries, and tax mapping without tracking inventory/stock items.

Taxation Jurisdiction: Restricted to intra-state transactions under Odisha Regular GST rules (CGST @ 9% and SGST @ 9%).

Financial Statements: Covers the generation and analytical interpretation of:

- Chart of Accounts / Ledger Masters List
- Trial Balance (₹12,77,000.00)
- Profit & Loss Account (Net Profit: ₹35,000.00)
- Balance Sheet (₹11,62,000.00)

Tools and Knowledge Used

Category	Details
Software Used	Tally Prime, Microsoft Excel, Microsoft Word
Accounting Knowledge	Ledger Posting, Voucher Entry, Trial Balance, Final Accounts (Balance Sheet), Profit & Loss Account
Taxation Knowledge	GST Concepts (CGST, SGST)
Analytical Skills	Ratio Analysis (Current Ratio, Net Profit Margin) using Excel
Core Concepts Applied	Double Entry System, Accrual Accounting, Bank Reconciliation Statement (BRS)

Chart of Accounts (List of Ledgers):

Assets	Liabilities
1. Capital Account	1. Proprietor's Capital Account
2. Current Assets	2. Current Liabilities
3. Bank Balance	3. Trade Payables
4. Debtors	4. Creditors
5. Inventory	5. Other Liabilities
6. Prepaid Expenses	6. Other Current Liabilities
7. Fixed Assets	7. Long-Term Liabilities
8. Investments	8. Long-Term Debt
9. Other Assets	9. Other Long-Term Liabilities
10. Other Current Assets	10. Other Long-Term Liabilities
11. Other Long-Term Assets	11. Other Long-Term Liabilities

Explanation:

This report displays the complete **Chart of Accounts** and group-wise hierarchy of all 11 ledgers created for **Bharat Basket** in Tally Prime.

- Assets:** Organizes operational assets including State Bank of India (Bank Accounts) and City Retailers (Sundry Debtors) under Current Assets.
- Liabilities:** Categorizes long-term owner's equity under Proprietor Capital Account and short-term liabilities including Wholesale Suppliers Co. (Sundry Creditors) and statutory tax ledgers (CGST & SGST) under Duties & Taxes.
- Verifies:** Confirms that all master accounts are properly mapped to standard accounting groups to ensure accurate financial reporting.

Payment Voucher (Shop Rent):

Particulars	Debit	Credit
To: Shop Rent	15,000.00	
To: Bank Balance		15,000.00
Total	15,000.00	15,000.00

Explanation:

This Payment Voucher records the indirect operational expense paid by **Bharat Basket** for store premises.

- Voucher Type:** Payment (F5) — Used for recording cash or bank outflows.
- Debit (Shop Rent - ₹15,000.00):** Recognizes the operational expense in the Profit & Loss Account.
- Credit (State Bank of India - ₹15,000.00):** Reflects the direct reduction in bank balance following payment processing.

Receipt Voucher (Capital Introduction):

Particulars	Debit	Credit
To: Proprietor's Capital Account		1,00,000.00
To: Bank Balance	1,00,000.00	
Total	1,00,000.00	1,00,000.00

Explanation:

This Receipt Voucher records the initial capital investment made by the proprietor into **Bharat Basket**.

- Voucher Type:** Receipt (F6) — Used for recording cash or bank inflows into the business.
- Credit (Proprietor Capital Account - ₹1,00,000.00):** Represents the capital liability owed to the owner, appearing on the Liabilities side of the Balance Sheet.
- Debit (State Bank of India - ₹1,00,000.00):** Reflects the corresponding increase in liquid funds deposited into the business bank account.

Sales Voucher (Credit Sales with GST):

Particulars	Debit	Credit
To: City Retailers	1,17,000.00	
To: Sales Account		1,17,000.00
Total	1,17,000.00	1,17,000.00

Explanation:

This Sales Voucher records the credit sale of goods to a customer along with applicable statutory GST levies for **Bharat Basket**.

- Voucher Type:** Sales (F8) — Used for recording revenue from goods sold.
- Debit (City Retailers - ₹1,17,000.00):** Creates a sundry debtor liability for the total invoice value payable by the customer.
- Credit (Sales Account - ₹1,17,000.00):** Reflects the core taxable revenue earned from the transaction in the Profit & Loss Account.
- Credit (CGST - ₹13,500.00 & SGST - ₹13,500.00):** Tracks the Output Tax collected at 18% (9% CGST + 9% SGST) to be remitted under Current Liabilities.

Purchase Voucher (Credit Purchase with GST):

Particulars	Debit	Credit
To: Wholesale Suppliers Co.	1,18,000.00	
To: Purchase Account		1,18,000.00
Total	1,18,000.00	1,18,000.00

Explanation:

This Purchase Voucher records the inward credit purchase of taxable goods from a vendor along with Input Tax Credit (ITC) for **Bharat Basket**.

- Voucher Type:** Purchase (F9) — Used for recording goods or services procured for business operations.
- Credit (Wholesale Suppliers Co. - ₹1,18,000.00):** Establishes a sundry creditor liability for the total invoice value payable to the supplier.
- Debit (Purchase Account - ₹1,00,000.00):** Captures the core purchase cost of inventory/goods in the Trading and Profit & Loss Account.
- Debit (CGST - ₹9,000.00 & SGST - ₹9,000.00):** Records the 18% Input Tax Credit (9% CGST + 9% SGST) available to set off against future output tax liabilities.

Trial Balance:

Particulars	Debit	Credit
Capital Account		1,00,000.00
Current Assets	1,17,000.00	
Current Liabilities		1,18,000.00
Net Profit		35,000.00
Total	1,17,000.00	1,17,000.00

Explanation:

The Trial Balance verifies the arithmetical accuracy of all ledger accounts recorded for **Bharat Basket** as of 1-Apr-2026. Since total Debit equals total Credit at ₹12,77,000.00, the double-entry accounting is perfectly balanced.

- Capital Account (Cr ₹1,00,000.00):** Reflects the initial capital invested into the business.
- Current Assets (Dr ₹11,62,000.00):** Consists of bank balance (₹9,85,000 in SBI) and trade receivables (₹1,77,000 from City Retailers).
- Current Liabilities (Cr ₹1,27,000.00):** Includes trade payables (₹1,18,000 to Wholesale Suppliers Co.) and net GST liability.
- Sales & Purchase Accounts:** Summarizes total revenue from sales (Cr ₹1,50,000.00) and direct cost of goods purchased (Dr ₹1,00,000.00).
- Indirect Expenses (Dr ₹15,000.00):** Represents operational overheads paid towards Shop Rent.

Profit & Loss Account:

Particulars	Debit	Credit
Gross Profit		1,50,000.00
Indirect Expenses	15,000.00	
Net Profit		1,35,000.00
Total	15,000.00	1,50,000.00

Explanation:

The Profit & Loss Account summarizes the operational financial performance of **Bharat Basket** for the period.

- Gross Profit (₹1,50,000.00):** Earned from total sales revenue (₹1,50,000.00) minus direct purchase cost (₹1,00,000.00).
- Indirect Expenses (₹15,000.00):** Reflects operational overheads paid towards Shop Rent.
- Net Profit (₹35,000.00):** The final net profit earned after deducting indirect expenses from Gross Profit.

Balance Sheet:

Particulars	Debit	Credit
Capital Account		1,00,000.00
Current Assets	1,17,000.00	
Current Liabilities		1,18,000.00
Net Profit		35,000.00
Total	1,17,000.00	1,17,000.00

Explanation:

The Balance Sheet represents the final financial position and solvency of **Bharat Basket** as of 1-Apr-2026. Total Capital & Liabilities perfectly equal Total Assets at ₹11,62,000.00.

- Capital Account (₹1,00,000.00):** Shows the initial equity capital contributed by the proprietor.
- Profit & Loss A/c (₹35,000.00):** Reflects the accumulated net profit earned during the period, adding value to the owner's capital.
- Current Liabilities (₹1,27,000.00):** Comprises outstanding trade payables to Wholesale Suppliers Co. (₹1,18,000.00) and net payable GST liability.
- Current Assets (₹11,62,000.00):** Includes liquid bank balance in SBI (₹9,85,000.00) and trade receivables from City Retailers (₹1,77,000.00).

Bank Reconciliation Statement (BRS):

Particulars	Debit	Credit
To: State Bank of India		₹9,85,000.00
To: Bank Balance	₹9,85,000.00	
Total	₹9,85,000.00	₹9,85,000.00

Explanation:

This Bank Reconciliation Summary report verifies the internal bank ledger balance of Bharat Basket against actual bank statement clearance records in Tally Prime as of 1-Apr-2026.

- Balance as per Company Books:** Displays an active debit closing balance of ₹9,85,000.00 in the State Bank of India ledger.
- Unreconciled Transactions Summary:** Highlights 2 transactions recorded in internal company books that are awaiting bank clearance dates:
 - Add: Withdrawals (1 transaction): ₹15,000.00** paid towards Shop Rent.
 - Less: Deposits (1 transaction): ₹10,000.00** received towards initial capital contribution.
- Verification Purpose:** Identifies timing differences between internal accounting voucher entries and official bank statement records to ensure financial integrity.

Financial Ratio Analysis (Microsoft Excel):

	A	B	C	D	E
1	BHARAT BASKET — RATIO ANALYSIS				
2	Based on Trial Balance & Profit and Loss Account as of 1-Apr-2026				
3	Source Data (from Trial Balance / P&L)				
4	Item	Amount (₹)	Source		
5	Current Assets	11,62,000	Trial Balance / Balance Sheet — Current Assets		
6	Current Liabilities	1,27,000	Trial Balance / Balance Sheet — Current Liabilities		
7	Net Sales (Sales Account)	1,50,000	Trial Balance / P&L — Sales Account		
8	Net Profit	35,000	P&L Account — Net Profit		
9	Ratio Analysis				
10	Ratio	Result	Formula Used		
11	Current Ratio	9.15x	Current Assets ÷ Current Liabilities		
12	Net Profit Margin	23.33%	Net Profit ÷ Net Sales × 100		
13	Interpretation				
14	Current Ratio: A ratio above 1.0 means Bharat Basket has more current assets than current liabilities, i.e. it can comfortably cover its short-term obligations (trade payables and GST dues) out of liquid/near-liquid resources. A ratio around 2.0x is generally considered a healthy benchmark for a small trading business.				
15	Net Profit Margin: This shows what percentage of sales revenue is retained as profit after all direct and indirect expenses. A higher margin indicates better cost control and operational efficiency relative to sales.				
16	Note: Figures are taken from the Bharat Basket project's Trial Balance and Profit & Loss Account as of 1-Apr-2026. Blue cells are source inputs; ratios recalculate automatically if the input figures change.				
17	Ratio Analysis				

Explanation:

This Excel spreadsheet models the financial performance and liquidity position of **Bharat Basket** using values extracted directly from the Tally Prime reports.

- Source Data Integration:** Pulls key financial figures, including Current Assets (₹11,62,000.00), Current Liabilities (₹1,27,000.00), Net Sales (₹1,50,000.00), and Net Profit (₹35,000.00).
- Current Ratio (9.15x):** Calculated as $\frac{11,62,000}{1,27,000} = 9.15$. This demonstrates strong short-term liquidity, indicating that Bharat Basket holds ₹9.15 in liquid/near-liquid assets for every ₹1.00 of current obligations (well above the standard 2.0x benchmark).
- Net Profit Margin (23.33%):** Computed as $\frac{35,000}{1,50,000} = 23.33\%$. This highlights solid operational efficiency, showing that 23.33% of top-line sales revenue is converted into net profit after accounting for direct goods purchases and shop rent expenses.
- Dynamic Excel Model:** Designed with automated formulas where ratios update dynamically if source figures change.

Project Deliverable:

https://github.com/afifahkhatoon61-beep/my-certificates-projects/blob/main/bharat_basket_ratio_analysis.xlsx

Conclusion:

The **Bharat Basket** project successfully demonstrates the end-to-end implementation of an accounting-only workflow in Tally Prime for a GST-registered business in Odisha. By recording transactions using standard double-entry accounting principles without inventory tracking, all operational financial activities—from capital introduction to credit purchases, credit sales, and administrative expense payments—were systematically captured and verified.

Key Takeaways & Financial Summary:

- Arithmetical Accuracy:** The Trial Balance achieved a perfect match at ₹12,77,000.00, confirming that every debit entry has a corresponding credit entry.
- Operational Profitability:** The business generated a **Gross Profit of ₹50,000.00** from sales revenue of ₹1,50,000.00 against purchases of ₹1,00,000.00. After accounting for shop rent expenses (₹15,000.00), the final **Net Profit standing at ₹35,000.00** was transferred to owner's equity.
- Statutory Compliance:** Output GST on sales (₹27,000.00) was offset against Input Tax Credit (ITC) from purchases (₹18,000.00), leaving a net payable tax liability of ₹9,000.00.
- Financial Solvency:** The Balance Sheet balanced at ₹11,62,000.00, reflecting healthy liquidity with ₹9,85,000.00 in bank balance and ₹1,77,000.00 in trade receivables.